

SETHU Customer Discovery Playbook

Business Owner Interviews Using the Mom Test

1. Executive Summary

This playbook is the field guide for SETHU's first customer discovery cycle with established small and medium business owners. Its purpose is not to collect compliments about SETHU or prove that the marketplace is a good idea. The purpose is to uncover evidence about how business owners actually think about ownership transition, succession, valuation, buyer discovery, confidentiality, verification and the practical process of selling or transferring a business. The interview method is adapted from Rob Fitzpatrick's The Mom Test: talk about the person's life rather than your solution, ask about specific past behaviour rather than hypothetical future behaviour, and listen more than you talk. The strongest evidence is what a person has already done, paid for, tried, or committed to doing next.

2. What This Research Is Actually Trying to Prove

SETHU should enter customer discovery with hypotheses, not conclusions. Core hypotheses to investigate: 1. Established small business owners eventually face an ownership transition, succession or exit decision. 2. A meaningful subset has already considered, discussed or attempted a sale or transfer. 3. Existing routes to buyers are fragmented, relationship-driven or difficult to trust. 4. Business valuation is a recurring point of uncertainty or disagreement. 5. Buyer quality and seriousness are difficult to assess. 6. Owners have legitimate confidentiality concerns around employees, customers, suppliers and competitors. 7. Financial, legal and operational verification is difficult enough to create a service opportunity. 8. There is a reachable population of buyers who want established, cash-flowing businesses. 9. Existing intermediaries, brokers, CAs, lawyers and informal networks do not fully solve the discovery and trust problem. 10. Some owners will make a concrete commitment, such as an introduction, follow-up interview, data walkthrough or eventually a paid transaction-related action. The interviews must be capable of disproving these hypotheses.

3. The Mom Test: Operating Principles

- Talk about their life, not your idea.
- Ask about specific past behaviour, not hypothetical future behaviour.
- Talk less and listen more.
- Treat compliments, generic claims and hypothetical enthusiasm as weak or non-evidence.
- Follow stated problems into actual workarounds, money spent, time spent and failed attempts.
- Seek commitments such as time, introductions or concrete follow-up rather than verbal enthusiasm.

4. Who SETHU Should Target First

The initial target is not simply "old business owners." The correct target is established business owners who have a credible reason to consider ownership transition. Prioritize: • Businesses operating for roughly 5+ years. • Owners who are roughly 40+ where age is relevant, but do not use age as a hard filter. • Profitable or economically meaningful businesses with understandable operating models. • Businesses with employees, repeat customers, supplier relationships and assets or processes that can potentially transfer to another owner. • Owners who are approaching retirement, have a succession question, have children who are not taking over, want to move into another venture, or have previously explored a sale. The best interviewee is an owner with a recent or real transition event, not merely someone who says "I might sell someday."

Cohort	Business types	Why interview them
Tier 1 — Start here	Distributors and wholesalers: hardware, electrical, plumbing, industrial supplies, building materials, auto parts and similar traditional distribution businesses.	Often have established customers, supplier relationships, inventory, physical infrastructure and relatively understandable cash flows.
Tier 2	Traditional service businesses: automobile workshops, printing, commercial cleaning, logistics, equipment maintenance, industrial services, repair and fabrication.	Useful for testing owner dependence, systems, staff transferability and operational continuity.

Cohort	Business types	Why interview them
Tier 3	Established retail: hardware, electrical, plumbing supply, building materials, auto parts and specialty retail.	Useful, but separate revenue from profitability and owner dependence.
Tier 4	Restaurants and hospitality.	Worth testing, but generally more operationally complex because of staffing, location, lease, brand and owner-dependence factors.
Special cohort	Businesses with an explicit succession situation: family businesses, owners approaching retirement, second-generation businesses, or businesses where children are not involved.	These can expose genuine transition triggers quickly.

5. Recommended First 30 Interviews

- 10 established traditional businesses: hardware, electrical, plumbing, building materials, industrial distribution, auto parts and similar businesses.
- 5 traditional service businesses: workshops, logistics, industrial services, maintenance, fabrication and similar.
- 5 established restaurants/hospitality businesses.
- 5 businesses with an explicit succession situation.
- 5 people who have actually bought, sold or attempted to sell a small business.

6. Interview Structure

Recommended duration: 25–40 minutes. Do not reveal the SETHU concept until the owner's existing behaviour has been mapped. The interviewer should treat the script as a guide, not a questionnaire to race through.

Part A — Understand the Business

Purpose: establish context before discussing selling, SETHU or any proposed solution. The interviewer should understand how the business works, how the owner participates and how dependent the business is on the owner.

1. Can you tell me a little about how you got into this business?
2. How has the business changed over the last five to ten years?
3. What does your involvement in the business look like today?
4. Which parts of the business still depend directly on you?
5. If you stopped coming in tomorrow, what would happen?
6. Who else knows how the business works well enough to run it?

Part B — Discover the Exit or Succession Story

Purpose: uncover whether ownership transition is a real issue without leading the owner toward a sale.

1. Have you ever thought about what you will do with the business five or ten years from now?
2. What happens when you eventually do not want to run it anymore?
3. Is anyone in the family expected to take over?
4. Is that succession plan actually being discussed today?
5. When was the last time you seriously thought about what happens to the business after you?
6. What triggered that thought?

Part C — Find Actual Exit Behaviour

Purpose: move from opinions to concrete events. This is one of the highest-value parts of the interview.

1. Have you ever had someone approach you about buying or taking over the business?
2. Have you ever seriously considered selling it, even informally?
3. When was the last time that happened?
4. What did you do next?
5. Who did you talk to?
6. How did you find those people?
7. What happened after the conversation?
8. Why did the process stop or continue?

Part D — Understand How Businesses Are Sold Today

Purpose: map the current workflow, channels and intermediaries before considering a SETHU solution.

1. If you wanted to sell the business tomorrow, how would you actually go about finding a buyer?
2. Who would you contact first?
3. Have you ever contacted a broker or intermediary?
4. How did you find them?
5. What did they actually do for you?
6. How much did they charge?
7. Were you satisfied with the outcome?

8. What other routes have you tried?

Part E — Find the Pain

Purpose: quantify the problem through recent events, time, money, effort, uncertainty and failed attempts.

1. Tell me about the last time you tried to solve this.
2. How long did it take?
3. How many people did you speak to?
4. How many were serious?
5. What was the biggest problem?
6. What did the process cost you in money?
7. What did it cost you in time or attention?
8. What was the most frustrating part?

Part F — Valuation

Purpose: understand whether valuation is a real operational problem and how owners currently solve it.

1. How did you decide what your business is worth?
2. Have you ever had the business professionally valued?
3. When was that?
4. Who valued it?
5. How much did you pay?
6. What method or benchmarks were used?
7. Did you agree with the valuation?
8. Have you ever received an actual offer? What happened?

Part G — Confidentiality and Trust

Purpose: uncover what information owners will and will not disclose, and what trust mechanisms are required.

1. If you were considering selling, what information would you be uncomfortable putting in front of strangers?
2. Why would that information be sensitive?
3. Who would you be comfortable sharing it with?
4. At what stage would you share financial information?
5. What would someone need to prove before you trusted them with confidential information?

Part H — Buyer Quality

Purpose: understand the buyer-side trust problem from the seller's perspective.

1. If someone contacted you tomorrow saying they wanted to buy your business, what would you want to know about them?
2. Have you ever had someone approach you who you did not consider serious?
3. What made you realize they were not serious?
4. How would you verify that a buyer can actually afford the transaction?
5. Would the buyer's experience or ability to operate the business matter to you? How?

Part I — Existing Workarounds

Purpose: identify the current solution, including informal workarounds, paid services and failed attempts.

1. What have you already tried to solve this?

2. What worked?
3. What did not work?
4. Why did you stop?
5. Who helped you?
6. What did you pay?
7. What would you do differently if you had to do it again?

Part J — Introduce SETHU Carefully

Purpose: only after the owner's current behaviour has been mapped, explain the SETHU concept briefly and test fit without asking for validation.

1. We are researching a platform around business acquisitions. The idea is to make it easier for established business owners to confidentially explore an exit while giving buyers access to verified businesses.
2. Based on what you have told me, where would something like that fit into the process you currently use?
3. What part of that process would actually be useful to you?
4. What would make you unwilling to use something like this?
5. What would you need to see before trusting a platform handling a potential sale of your business?

Part K — Commitment and Referral

Purpose: convert interest into observable commitment. The commitment is more useful than a compliment.

1. Would you be willing to speak with us again after we have mapped what we learned from other owners?
2. Could you introduce us to one business owner who has actually considered or attempted to sell?
3. Would you be willing to walk us through what information a serious buyer would need to see?
4. If appropriate later, would you be willing to test the process with a real business situation?

7. The Most Important Follow-Up Pattern

Owner: “Finding buyers is difficult.”

Interviewer: “When was the last time you actually tried to find one?”

Owner: “Business valuation is confusing.”

Interviewer: “When was the last time you had to value the business?”

Owner: “There are no good platforms.”

Interviewer: “When was the last time you looked for one?”

Owner: “I might sell someday.”

Interviewer: “What made you think about selling?”

8. Questions to Avoid

Avoid	Why	Use instead
Would you use SETHU if we built it?	Hypothetical future behaviour.	What did you do the last time you needed to find a buyer?
Do you think this is a good idea?	Invites politeness and compliments.	What is difficult about your current process?
Would you pay ■25,000 for verification?	Price is hypothetical before value and behaviour are understood.	Have you ever paid for verification, valuation or transaction assistance? How much?
What features should SETHU have?	Turns the interview into a product brainstorm.	What did you need during the last transaction attempt that you could not get?
Would you sell your business someday?	Future-oriented and vague.	When was the last time you seriously considered selling or transferring it?

9. What Counts as Strong Evidence

Signal	Example	Evidence type
■ Strong	Owner has actually attempted to sell or transfer the business.	Past behaviour
■ Strong	Owner has spoken with brokers, buyers, CAs, lawyers or other intermediaries about a real transaction.	Past behaviour
■ Strong	Owner paid for valuation, brokerage, legal work, due diligence or transaction assistance.	Money spent
■ Strong	Owner has an active succession problem or a recent exit trigger.	Real event
■ Strong	Owner can describe failed buyer conversations or low-quality leads.	Pain + evidence
■ Strong	Owner agrees to introduce another relevant business owner.	Reputation commitment
■ Moderate	Owner has seriously considered an exit but has not taken action.	Intent without behaviour
■ Moderate	Owner identifies confidentiality, valuation or buyer quality as concerns but has not tried to solve them.	Potential pain
■ Weak	Owner says “great idea,” “I would definitely use it,” or “keep me posted.”	Compliment / fluff
■ Weak	Owner says they might sell someday with no recent trigger or action.	Hypothetical

10. SETHU Seller Interview Scorecard

Use this after the interview, not as a way to steer the owner during the interview.

Signal	Score range	What it measures
Has considered selling	0 / 1	Was the thought real and recent?
Has actually attempted to sell	0 / 2	A real transaction attempt is stronger than intent.
Has spoken to potential buyers	0 / 2	Evidence of demand and process.
Has used a broker/intermediary	0 / 2	Existing market behaviour.
Has paid for assistance	0 / 3	Strongest economic signal.
Has experienced valuation difficulty	0 / 2	Potential SETHU problem.
Has experienced buyer-quality problems	0 / 2	Potential trust problem.

Signal	Score range	What it measures
Has confidentiality concerns	0 / 1	Potential marketplace design constraint.
Has succession problem	0 / 2	Potential trigger.
Has active/recent exit trigger	0 / 3	High-intent situation.
Will introduce another owner	0 / 3	Reputation commitment.
Will continue conversation	0 / 1	Time commitment.

11. Sample Conversations

Sample Conversation 1 — Strong Exit Signal

Interviewer: How has the business changed over the last five to ten years? Owner: It has grown, but I am personally still involved in almost everything.

Interviewer: If you stopped coming in tomorrow, what would happen? Owner: Honestly, things would slow down. My manager handles staff, but customers and suppliers still come to me.

Interviewer: Have you ever thought about what happens to the business when you eventually stop running it? Owner: Yes. My son is not interested in joining. I have started thinking about selling.

Interviewer: When did you last seriously think about that? Owner: Around eight months ago.

Interviewer: What happened then? Owner: I spoke to my CA first. He introduced me to a broker.

Interviewer: What did the broker do? Owner: He brought two people. One was not serious. The other wanted a very different valuation.

Interviewer: How did you decide your valuation? Owner: Mostly based on my CA's view and what similar businesses were supposedly selling for.

Interviewer: What happened after the valuation disagreement? Owner: Nothing. We stopped talking.

Interviewer: If you had to start the process again, what would you want to be different? Owner: I would want serious buyers and a clearer way to prove what the business is worth.

Researcher note: This interview contains multiple high-value signals: a real succession trigger, a recent sale attempt, an existing intermediary, buyer-quality failure and valuation friction.

Sample Conversation 2 — Compliment Redirect

Interviewer: We are researching business acquisitions and may build a platform around verified businesses. Owner: That sounds like a great idea. I would definitely use it.

Interviewer: Thank you. Before we discuss the platform, can I understand your last experience? When was the last time you actually tried to find a buyer? Owner: I have never tried.

Interviewer: Have you spoken to anyone about selling or transferring the business? Owner: No.

Interviewer: What made you say you would use a platform like this? Owner: It just sounds useful.

Researcher note: Do not count this as validation. There is no demonstrated problem behaviour. The compliment is not evidence.

Sample Conversation 3 — Negative Evidence

Interviewer: Have you ever seriously considered selling the business? Owner: No.

Interviewer: What happens when you eventually stop running it? Owner: My daughter is already working here and will take over.

Interviewer: Has that succession plan been discussed? Owner: Yes. It is already agreed within the family.

Interviewer: Have you ever spoken to a broker or outside buyer? Owner: No. We have no reason to.

Researcher note: This may be a poor fit for the initial seller ICP. That is useful evidence. Do not force the interview toward SETHU.

Sample Conversation 4 — Hidden Pain

Interviewer: If you wanted to sell the business tomorrow, how would you find a buyer? Owner: I would ask people I know.

Interviewer: Have you had to do that before? Owner: Yes, actually.

Interviewer: Tell me about the last time. Owner: Three years ago. A friend knew someone who wanted to buy a similar business.

Interviewer: What happened? Owner: We met, but we could not agree on the price.

Interviewer: How did you arrive at your price? Owner: I asked my accountant and looked at what other shops were selling for.

Interviewer: Did you ever get a formal valuation? Owner: No.

Interviewer: What was the biggest issue? Owner: We did not trust each other's numbers.

Researcher note: This is stronger than the opening answer suggests. The owner has prior transaction behaviour and a valuation/trust problem.

12. Interviewer Rules of Engagement

- Do not pitch SETHU in the first part of the interview.
- Do not ask questions that can be answered with a polite yes.
- Whenever the owner says “usually,” “always,” “never,” “would,” “will,” “might,” or “could,” bring the conversation back to a specific past event.
- Use “When was the last time?” and “Walk me through what happened.”
- Ask follow-up questions instead of rushing to the next prepared question.
- Leave silence. Do not rescue the interviewee from thinking.
- Capture exact examples, dates, actions, costs and outcomes.
- Do not argue with negative evidence.
- Do not count compliments as validation.
- End with a concrete commitment or introduction when appropriate.
- Complete the scorecard immediately after the interview while details are fresh.
- Do not let the scorecard become a vanity metric. Its purpose is to compare evidence quality across interviews.

13. What a Successful Interview Looks Like

- A recent or specific event.
- A clear sequence of actions the owner took.
- An existing workaround or intermediary.
- Evidence of time, money or effort spent.
- A specific failure or friction point.
- A clear trigger for considering a transition.
- Constraints around confidentiality and trust.
- A concrete next-step commitment or introduction.

14. Post-Interview Capture Template

1. Write the strongest exact quote from the owner.
2. Record the most recent relevant event and its date.
3. Record what the owner actually did.
4. Record what they paid, if anything.
5. Record what failed.
6. Record the owner's current workaround.
7. Record the exit trigger, if any.
8. Record confidentiality or trust constraints.

9. Record the commitment made at the end.
10. Decide whether this interview supports, weakens or leaves unresolved each core hypothesis.

15. Strategic Takeaway for SETHU

The initial discovery question is not “Is SETHU a good idea?” The useful question is: under what circumstances does an established Indian business owner actually want to exit or transfer ownership, how do they currently attempt it, where does the process break, and who is willing to take action to solve those problems? If interviews repeatedly uncover real sale attempts, broker usage, valuation disputes, buyer-quality failures, confidentiality constraints and concrete commitments, SETHU has evidence to investigate the marketplace thesis further. If those behaviours rarely appear, the correct response is not to force validation. Change the segment, change the problem definition or change the thesis.

Appendix A — References

Rob Fitzpatrick, The Mom Test

Primary framework reference. Core rules: talk about their life, not your idea; ask about specifics in the past, not opinions about the future; talk less, listen more.

<https://momtestbook.com/>

The Mom Test book notes

Practical summary covering compliments, fluff, past behaviour, existing workarounds and commitments.

<https://edvins.io/the-mom-test-book-notes>

GoNoGo, The Mom Test guide

Practical guide to the three rules, bad data and interview questions.

<https://gonogo.team/the-mom-test>

Ventropolis, The Mom Test questions

Recent practical guide emphasizing past behaviour and commitments.

<https://www.ventropolis.com/blog/the-mom-test-questions>

Appendix B — One-Page Interview Flow

- A. Understand the business
- B. Discover the exit/succession story
- C. Find actual exit behaviour
- D. Map how businesses are sold today
- E. Quantify the pain
- F. Understand valuation
- G. Understand confidentiality
- H. Understand buyer quality
- I. Map existing workarounds
- J. Introduce SETHU briefly
- K. Ask for a concrete commitment or introduction